were afraid. They felt they could depend far more upon a small bond coupon than a high return from stocks despite the dividend, because they so feared a capital loss from a falling market. At the October 1987 peak, by contrast, a dollar of stock yield sold for an amazing 4.38 times the price of a dollar of bond yield, an increase of over 11.8 times, a record level of relative value that reflected a powerful belief in both the safety of stocks and a continuation in the bull market, which would be necessary to make up for the difference in yield.

Today, the bond/stock yield ratio is at 3.56, its highest level since October 1987 and nearly ten times its 1949 low of .37. This high multiple reveals that stock market psychology is still historically bullish in favoring corporate shares over high grade legal obligations. This situation is particularly alarming when one notes that bond market psychology *on its own* remains bullish to an extreme as well, as described in Chapter 16.

The Consensus Opinion About These Indicators

Among the several litanies contributing to the mantra for today's Wall Street bulls, including, "stocks always go up long term," and "secondary stocks are going to explode before the bull market ends," the most cavalier is, "despite the statistics, stocks are still undervalued." It's true: Conventional analysts today simply *dismiss* the long standing warnings from all these indicators of record investor optimism. Their reasons fall into two camps, either that (1) it is a new era, so the indicators no longer matter, or (2) the indicators are flawed.

One general complaint against using book value as a measure of a company's worth is that accounting actually requires companies to set up a *reserve* for retired workers' benefits, as if that is an invalid charge against book value. This liability is quite real, however, and in a bad economy will be crippling. Today's money managers are not considering prospects for anything but growth. It is also argued quite strenuously that the historically low dividend payout is actually bullish because its means that "companies are plowing more money back into the company" instead of paying it to shareholders. Under the February 7, 1995 *Wall Street Journal* headline, "Flaws in Market Gauges Make Stocks Seem Expensive," an article reports on explanations by analysts and money managers as to why not just one indicator of value, but *all* of them, are mislead-